bestoasis

Recycling with the Best

Weekly Ship Recycling Report

29 September 2023 - 06 October 2023

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Highlights of the Week

The ship recycling market has exhibited a lack of vibrancy in recent weeks. Despite this, India continues to maintain a relatively favorable position compared to other destinations. However, India experienced a decline this week, with a decrease in buying activity. On the other hand, Bangladesh is currently facing challenges related to LC issues, resulting in a soft market in this region. Pakistan is currently maintaining its position, awaiting further currency appreciation. Consequently, buyers are refraining from making additional purchases, resulting in limited buying activity within the market. Turkey has experienced a marginal decline in import prices, resulting in a decrease of 5 USD. The overall state of the country has remained largely unchanged. The present state of affairs is moderately adequate; however, there is an expectation that the existing conditions will undergo improvement.

There is a growing sense of optimism prevailing amidst the prevailing downward pressure on China's steel industry. Esteemed experts are foreseeing a more favorable equilibrium between supply and demand, owing to the nation's steadfast endeavors to stabilize its economic growth, the implementation of novel policies to regulate crude steel production, and the escalating demand emanating from burgeoning sectors such as new energy vehicles and solar power. India continues to exhibit a favorable trajectory, characterized by robust demand, primarily driven by increased government expenditure in the pre-election period.

As stated by the International Monetary Fund (IMF), the global economy has shown notable durability, with the first six months of 2023 yielding positive developments mostly due to robust demand for services and significant advancements in combating inflation. This phenomenon enhances the likelihood of a smooth transition for the global economy. However, it is important to be watchful as the inherent uncertainty of global events continues to persist.

Exchange Rates:

USD / INR ₹

This Week	: 83.21
Previous Week	: 83.19
Lost	: 0.2

USD / BDT ৳

This Week	: 110.20
Previous Week	: 110.29
Gained	: 0.09

USD / PKR Rs

This Week	: 278.99
Previous Week	: 287.57
Gained	: 8.58

USD / TRY ₺

This Week	: 27.61
Previous Week	: 27.40
Lost	: 0.21

India

The local market has experienced a decline and is now exhibiting a slowdown.

- Currently, the market is experiencing a decline, resulting in a slow-paced state. The correction stands at approximately 10 USD, as the local market has witnessed a decrease compared to previous weeks.

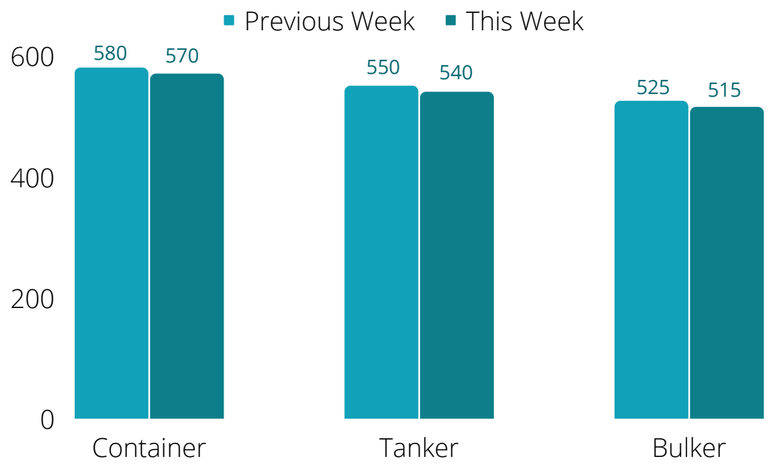
- The level of buyer aggression diminishes with each occurrence of the local market reaching a price of 45,000 rupees per ton, as it fails to sustain further upward momentum.

- India will continue to be one of the world's fastest-growing economies due to its robust domestic demand and investment, which will allow it to withstand inflation and difficult global conditions. As a result of "challenging external conditions and waning pent-up demand," the World Bank predicted in a regular report that growth for the current fiscal year would moderate to 6.3%.

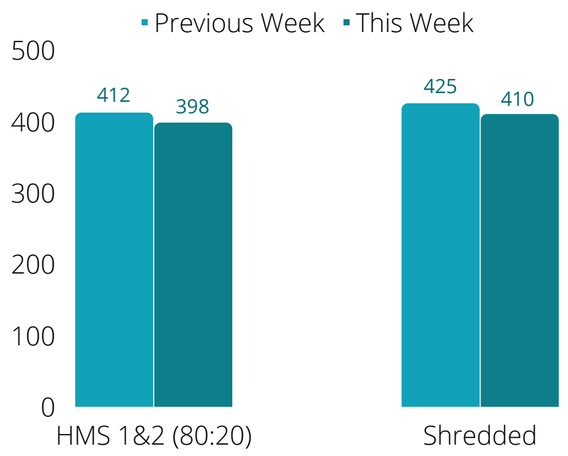
Beaching Dates

14 October to 20 October 2023
26 October to 3 November 2023
12 November to 19 November 2023

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

The current state of the local market is characterized as sluggish with a lack of demand.

- The current market conditions continue to exhibit a persistent state of stagnation, characterized by minimal fluctuations.
- The issue pertaining to LC remains highly challenging.
- It is anticipated that there will be a certain degree of purchasing activity in the forthcoming two-month period. However, the precise extent to which the market will initiate such transactions is yet to be determined.
- Based on statistics provided by the central bank, the gross reserves of the nation amounted to 21.15 billion USD, aligning with the reserve calculation technique used by the IMF. As per the economists, the ongoing practice of the Bangladesh Bank selling off more than 1 billion USD per month would ultimately deplete the country's reserves, exerting a significant impact on the currency rate, which is a matter of concern. The current status of the country's reserves is not yet at a critical level; yet, it is a matter of concern.

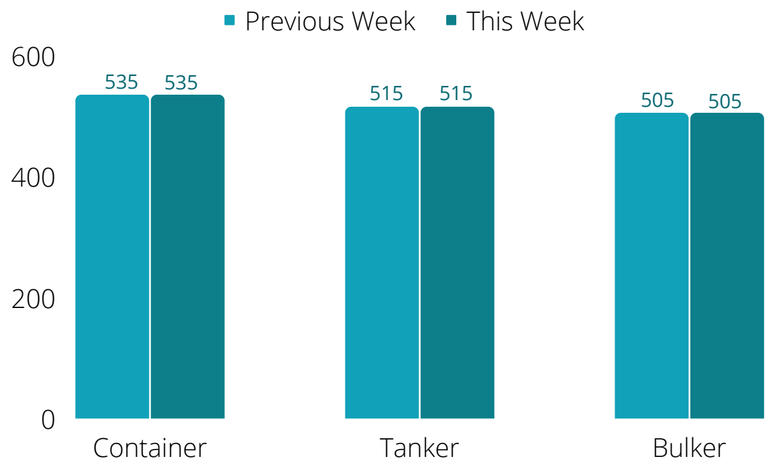
Beaching Dates

27 October to 30 October 2023

12 November to 15 November 2023

25 November to 28 November 2023

Price for Recycling Ships in Bangladesh



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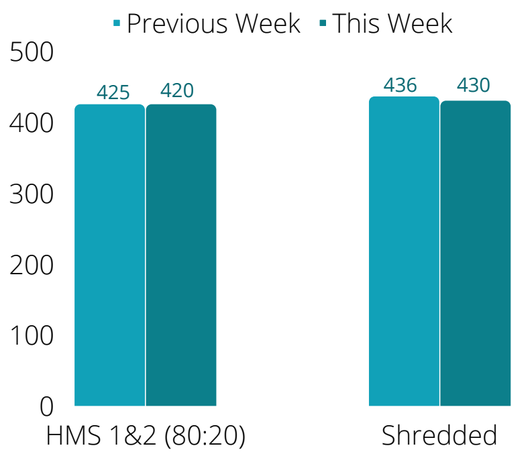


Pakistan

Limited buying and anticipation of currency appreciation resulted in tough market conditions.

- There is very limited purchasing activity observed in the market, primarily occurring at high price levels. However, overall buying interest remains low due to the challenges associated with initiating an LC transaction. Moreover, the purchasing levels of buyers for vessels are not aligned with the prevailing conditions of the local market.

- The buyers who possess an LC facility, acquired after persistent efforts in liaising with the bank, are seeking to effectively use it.

- The value of the PKR is seeing a notable increase, resulting in ongoing detrimental effects on imports of various steel items. The end buyers have likewise ceased their purchasing activities and are now awaiting a further decrease in prices.

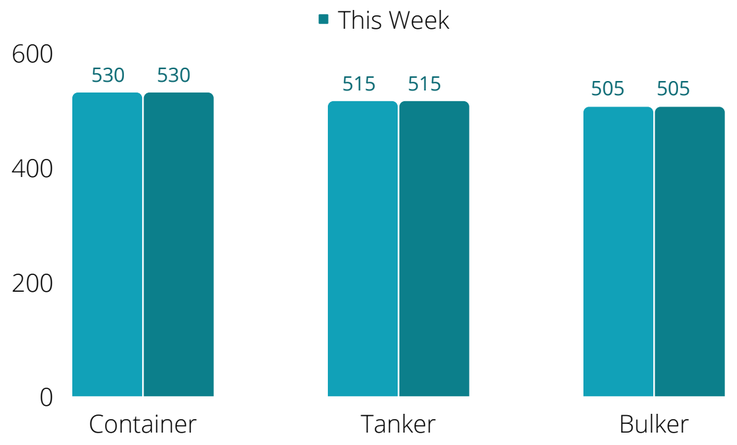
- Gadani is a deserted location, according to visitors, because there are no customers in the vicinity. The rumor and consensus is that the value of the currency will rise further from its current level.

- Banks are now in a stronger position to open LCs but continue to require 100% margins.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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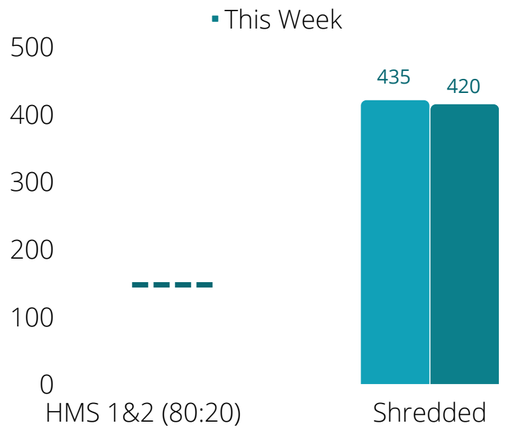
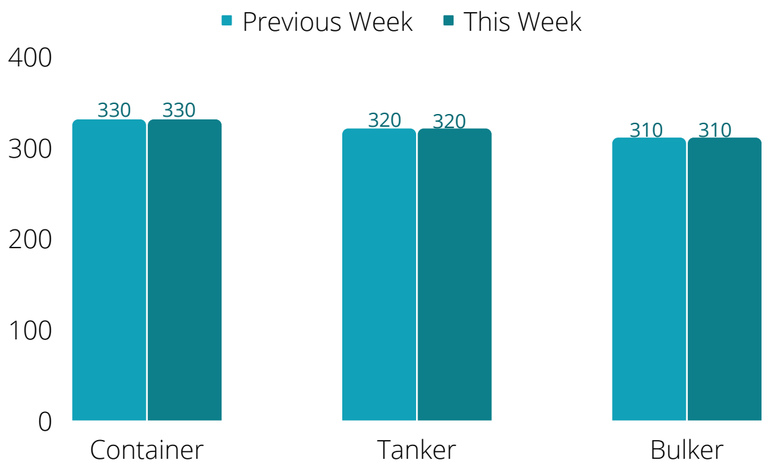


Türkiye

The local market exhibits stability, while the imports experience a decline.

- The value of imports experienced a decrease of 5 USD, while the local price level remained unchanged.
- According to official data, Turkiye's annual inflation remained stable at approximately 60% in September. This signifies a significant milestone, as it provides the initial indication that the government's comprehensive policy reform, primarily focused on curbing price surges, is yielding positive results.
- Fitch Ratings has recently made a significant adjustment to the Outlook on Turkiye's Long-Term Foreign-Currency (LTFC) Issuer Default Rating (IDR), transitioning it from a Negative stance to a Stable one. Furthermore, Fitch Ratings has also confirmed the IDR at a rating of 'B'.

Price for Recycling Ships in Türkiye



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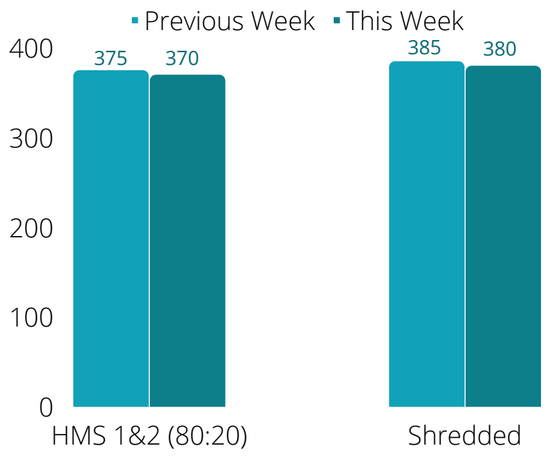
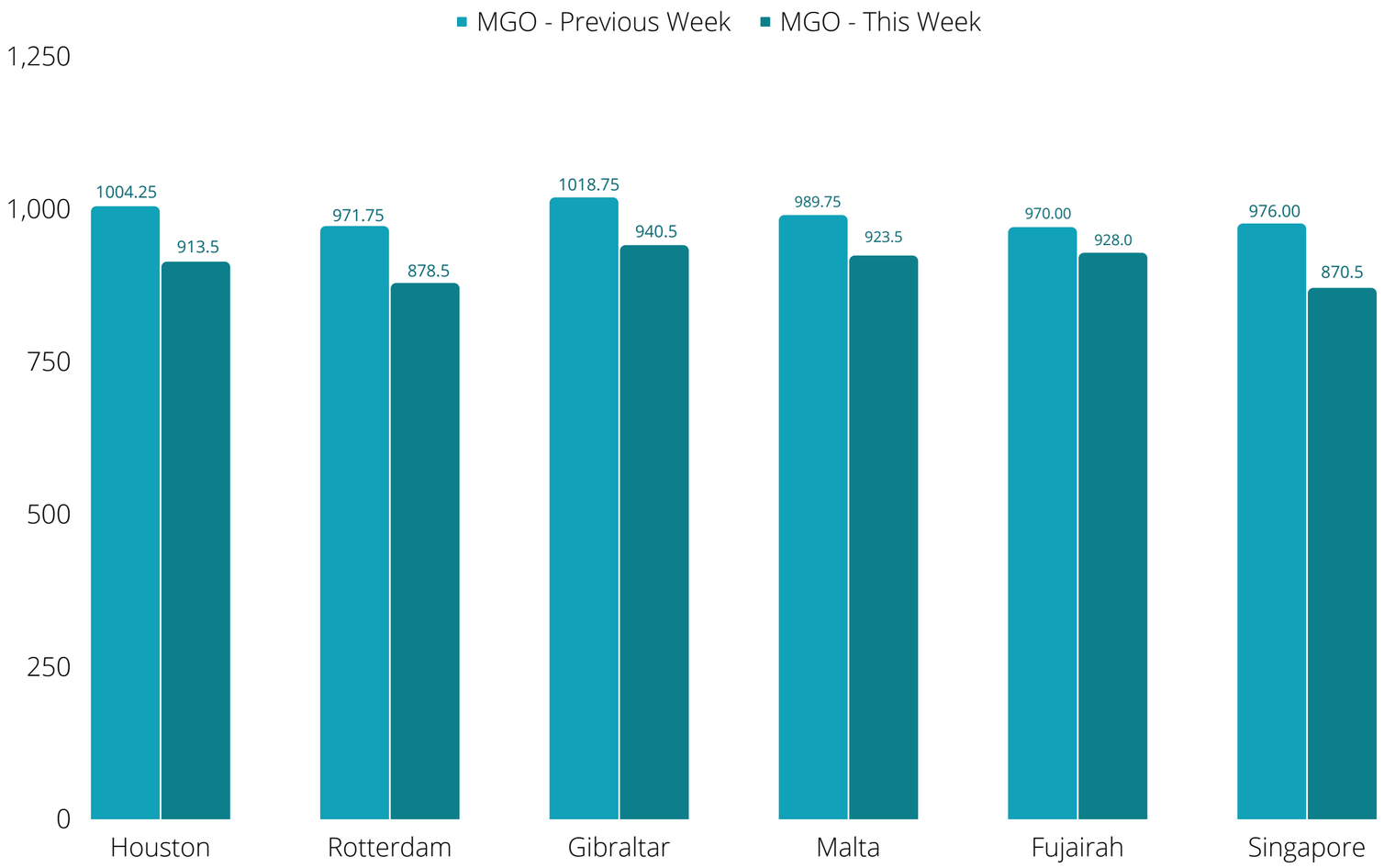


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 90.57
Previous Week	: 96.06
Movement	: -5.49

WTI Crude

This Week	: 88.82
Previous Week	: 93.22
Movement	: -4.4

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MSC JASMINE	CONTAINER	8420907	1988	FRANCE	13,977	DELIVERED	ALANG, INDIA (HKC RECYCLING)	UNDISCLOSED
SIRITANASIN	PRODUCTS TANKER	8614819	1987	JAPAN	756	DELIVERED	CHITTAGONG, BANGLADESH	510
TYCOON	BULKER	9215543	2000	CHINA	12,627	DELIVERED	FULL SUBCONTINENT ON BUYERS OPTION	570 (500 MT FO & 50 MT DO)
ANGEL-A	GENERAL CARGO	8805054	1988	JAPAN	1,381	DELIVERED	ALANG, INDIA	UNDISCLOSED
SOUMYA-J	GENERAL CARGO	7118870	1971	GERMANY	1,518	DELIVERED	TURKEY	UNDISCLOSED
LAZURNYY	FISH CARRIER	8921949	1990	POLAND	2,372	DELIVERED	TURKEY	UNDISCLOSED

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